companies always come back," "you have to be patient in the stock market," and "there's no sense getting scared out of a good thing."

These phrases were no doubt heard again and again around investor households, and in the bank portfolio departments, as Polaroid stock sank to $100, then to $90, and then $80. As the stock broke below $75, the "can't go much lower" faction must have grown into a small mob, and at $50 you could have heard the phrase repeated by every other Polaroid owner who held on.

Newer owners were buying Polaroid all the way down on the theory that it couldn't go much lower, and many of them must have regretted that decision, because in fact Polaroid did go much lower. This great stock fell from $143½ to $14⅛ in less than a year, and only then did "it can't go much lower" turn out to be true. So much for the it-can't-go-lower theory.

There's simply no rule that tells you how low a stock can go in principle. I learned this lesson for myself in 1971, when I was an eager but somewhat inexperienced analyst at Fidelity. Kaiser Industries had already dropped from $25 to $13. On my recommendation Fidelity bought five million shares—one of the biggest blocks ever traded in the history of the American Stock Exchange—when the stock hit $11. I confidently asserted that there was no way the stock could go below $10.

When it reached $8, I called my mother and told her to go out and buy it, since it was absolutely inconceivable that Kaiser would drop below $7.50. Fortunately my mother didn't listen to me. I watched with horror as Kaiser faded from $7 to $6 to $4 in 1973—where it finally proved that it couldn't go much lower.

The portfolio managers at Fidelity held on to their five million shares, on the theory that if Kaiser had been a good buy at $11, it was undoubtedly a bargain at $4. Since I was the analyst who recommended it, I kept having to reassure them that it had a good balance sheet. In fact, it cheered us all up to discover that with only 25 million shares outstanding, at the $4 price the entire company was selling for $100 million. That same money would have bought you four Boeing 747s back then. Today, you'd get one plane with no engines.

The stock market had driven Kaiser so low that this powerful company, with its real estate, aluminum, steel, cement, shipbuilding, aggregates, fiberglass, engineering, and broadcasting businesses—not to mention jeeps—was selling for the price of four airplanes. The company had very little debt. Even if it were liquidated for the assets, we calculated that it was worth $40 a share. Nowadays a raider would have swooped in and taken it over.

Soon enough Kaiser Industries did rebound to $30 a share, but not before the drop to $4 had cured me of any further urge to announce, "It can't possibly go any lower than this."